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HOUSE OF REPRESENTATIVES
153rd GENERAL ASSEMBLY

HOUSE BILL NO. 216

AN ACT TO AMEND TITLE 15 OF THE DELAWARE CODE RELATING TO ELECTION CAMPAIGNS AND
PUBLIC DISCLOSURES.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF DELAWARE:

1 Section 1. Amend § 8002, Title 15 of the Delaware Code by making deletions as shown by strike through and
2 insertions as shown by underline as follows:

3 § 8002. Definitions.

4 As used in this chapter:

5 (1) "Affiliated controlling entity" means a person or entity that has the power to direct the decision and
6 operations of another entity through any of the following means:

7 a. The governing instrument of the entity requires it to be bound by decisions of the affiliated controlling
8 entity.

9 b. The governing board of the entity includes persons who are specifically designated representatives of
10 the affiliated controlling entity or who are members of the governing board, officers, or paid executive staff
11 members of the affiliated controlling entity, or whose service on the governing board is contingent upon the
12 approval of the affiliated controlling entity.

13 c. The entity is chartered, created, or sponsored by the affiliated controlling entity.

14 (+) (2) "Candidate" means a person who seeks nomination for or election to public office, or who has taken
15 action necessary under the law to qualify for nomination or election under the laws of the State, or has authorized the
16 solicitation of any contribution or the making of any expenditure in that person's behalf.

17 (2) (3) "Candidate committee" means each political committee formed on behalf of a candidate for public
18 office.

19 (3) (4) "Cash" includes currency, money orders, travelers checks and other negotiable instruments that do not
20 disclose on their face the true name of the contributor.

21 (4) (5) "Chapter" includes, in addition to the provisions of this chapter, the rules and regulations made by the
22 Commissioner.

~~(5)~~ (6) “Clearly identified candidate” means that the name, a photograph or a drawing of the candidate appears or the identity of the candidate is otherwise apparent by unambiguous reference.

~~(6)~~ (7) “Commissioner” means the State Election Commissioner, or the designee of the Commissioner.

~~(7)~~ (8) “Communications media” means television, radio, newspaper or other periodical, sign, Internet, mail or telephone.

(9) “Conduit” means an entity whose main purpose is to act as an intermediary or pass-through for the transfer of funds between a donor and a third-party advertisement or political committee.

~~(8)~~ (10) “Contribution” means any advance, deposit, gift, expenditure or transfer, of money or any other thing of value, to or for the benefit of any candidate or political committee involved in an election, including without limitation any:

a. Gift, subscription, advance, deposit, expenditure or transfer of any thing of value;

b. Discount or rebate not available to the general public (except a party’s abatement or refund of a filing fee otherwise required under § 3103 of this title);

c. Loan (except a loan of money by a national or state bank, building and loan association or licensed lender made in the ordinary course of business);

d. Purchase of tickets, goods or services sold to raise funds for a campaign, whether or not the tickets, goods or services are used by the buyer;

e. Forgiveness of indebtedness or payment of indebtedness by another person;

f. Service or use of property without full payment therefor (except the contribution of services by an individual, the use of an individual’s residence, the contribution of such items as invitations, food and beverages by an individual volunteering personal services or the individual’s residence, or the use of the telephone equipment of any person); or

g. Any other thing of value (except an independent expenditure).

(11) “Donor” means a person who voluntarily contributes funds to a business entity, nonprofit organization, political committee, or other organization that directly or indirectly, through a conduit or otherwise, contributes to a political committee or third-party advertisement.

~~(9)~~ (12) “Election” means the action by qualified voters of the State either to nominate by vote a candidate for public office or to select a candidate to fill a public office, whether in a primary, general or special election.

~~(10)~~ (13) a. “Electioneering communication” means a communication by any individual or other person (other than a candidate committee or a political party) that:

1. Refers to a clearly identified candidate; and

2. Is publicly distributed within 30 days before a primary election or special election, or 60 days before a general election to an audience that includes members of the electorate for the office sought by such candidate. For purposes of this section, the term "general election" shall include any annual election for 1 or more members of a school board pursuant to § 1072(c) of Title 14.

b. "Electioneering communication" does not include:

1. A communication distributed by a means other than by any communications media;
2. Any membership communication;
3. A communication appearing in a news article, editorial, opinion, or commentary, provided that such communication is not distributed via any communications media owned or controlled by any candidate, political committee or the person purchasing such communication;
4. A communication made in any candidate debate or forum, or which solely promotes such a debate or forum and is made by or on behalf of the person sponsoring the debate or forum.

~~(11)~~ (14) "Election period" means:

a. For a candidate committee:

1. For a candidate for reelection to an office to which the candidate was elected in the most recent election held therefor, the period beginning on January 1 immediately after the most recent such election, and ending on the December 31 immediately after the general election at which the candidate seeks reelection to the office.

2. For a candidate for reelection to an office which the candidate attained since the last election held therefor (whether the candidate attained the office by succession, appointment or otherwise), the period beginning on the day the candidate succeeded to or was appointed to the office, and ending on the December 31 immediately after the general election at which the candidate seeks reelection to the office.

3. For a candidate for election to an office which the candidate does not hold, the period beginning on the day on which the candidate first receives any contribution from any person (other than from the candidate or from the candidate's spouse) in support of that candidate's candidacy for the office, and ending on the December 31 immediately after the general election at which the candidate seeks election to the office.

4. Notwithstanding the foregoing, for purposes of the limitations under § 8010 of this title on contributions for a candidate in a general election who was nominated for such office in a primary election,

the election period shall end on the day of the primary and the next election period shall begin on the day after the primary.

b. For a political party and for a political action committee, the period beginning on the January 1 immediately after a general election, and ending on the December 31 immediately after the next general election.

c. For a candidate committee for a person who does not hold public office and who has not taken action necessary under the law to qualify for nomination or election under the laws of the State, the period beginning on the date the first contribution is received or expenditure is made by the committee and ending on the fourth December 31 following such date; provided, however, that if such person takes action necessary under the law to qualify for nomination or election under the laws of the State, the period shall be determined under paragraph (11)a. of this section.

d. For a person who makes an expenditure for a third-party advertisement, the election period shall begin and end at the same time as that of the candidate identified in such advertisement, without regard to paragraph (11)a.4. of this section.

~~(42)~~ (15) "Expenditure" means any payment made or debt incurred, by or on behalf of a candidate or political committee, or to assist in the election of any candidate or in connection with any election campaign.

~~(43)~~ (16) "Independent expenditure" means any expenditure made by any individual or other person (other than a candidate committee or a political party) expressly advocating the election or defeat of a clearly identified candidate, which is made without cooperation or consultation with any candidate, or any committee or agent of such candidate, and which is not made in concert with, or at the request or suggestion of, any candidate or any committee or agent of such candidate. An expenditure shall constitute an expenditure in coordination, consultation or concert with a candidate and shall not constitute an independent expenditure where:

a. There is any arrangement, coordination or direction with respect to the expenditure between the candidate or the candidate's agent and the person (including any officer, director, employee or agent of such person) making the expenditure;

b. The person making the expenditure (including any officer, director, employee or agent of such person) has advised or counseled the candidate or the candidate's agents on the candidate's plans, projects or needs relating to the candidate's pursuit of nomination or election, in the same election period, including any advice relating to the candidate's decision to seek office; or

c. The expenditure is based on information provided to the person making the expenditure directly or indirectly by the candidate or the candidate's agents about the candidate's plans, projects or needs; provided, that

the candidate or the candidate's agent is aware that the other person has made or is planning to make expenditures advocating the candidate's election.

(14) (17) "Mailing address" means a physical mailing address, and shall not include a post office box.

(15) (18) "Membership communication" means a newsletter or periodical, telephone call, or any other communication distributed solely to the members, shareholders, or employees of an organization or institution.

(16) (19) "Officer" means:

a. If used with respect to a corporation, a natural person appointed or designated as an officer of such corporation by or pursuant to applicable law or the certificate of incorporation or bylaws of such corporation, or a person who performs with respect to such corporation functions usually performed by an officer of a corporation. Without limitation of the foregoing, the term "officer" shall include the president, vice president, treasurer, secretary, chief executive officer, chief operating officer or chief financial officer of such corporation, or their respective equivalents; and

b. If used with respect to an entity other than a natural person or a corporation, a natural person who performs functions usually performed by an officer of a corporation with respect to such entity.

(20) "Out-of-state political action committee" means any organization or association outside of the State, which accepts contributions from or makes expenditures to an election within the State, and is any of the following:

a. An entity registered with the Federal Elections Commission.

b. An entity registered with an out-of-state agency that requires the organization to report campaign finance expenditures and contributions to the out-of-state agency.

(17) (21) "Person" includes any individual, corporation, company, incorporated or unincorporated association, general or limited partnership, society, joint stock company, and any other organization or institution of any nature.

(18) (22) "Political action committee" means a political committee which is neither a political party nor a candidate committee.

(19) (23) a. "Political committee" means:

a. 1. Any organization or association, whether permanent or created for the purposes of a specific political campaign, which accepts contributions from or makes expenditures to any candidate, candidate committee, or political party in an aggregate amount in excess of \$500 during an election period, not including independent expenditures; and expenditures and is not an out-of-state political committee.

b. 2. All political parties and candidate committees.

141 3. An out-of-state political committee that contributes more than \$2,000 to a Delaware election,
142 exempting contributions made to candidate committees and political parties.

143 (20) (24) “Political party” means an organization eligible to be listed on any general election ballot under §
144 3001 of this title, or any other organization which desires to be listed on any ballot on any election, and any constituent
145 part of such party which receives contributions and makes expenditures. For purposes of the contribution limits of
146 subchapter II of this chapter, a “political party” includes all constituent parts of such party, including the statewide,
147 county, regional, municipal and district committees, all finance committees and all other committees, subdivisions and
148 organizations related to the political party.

149 (21) (25) “Publicly distributed” means aired, broadcast, delivered or otherwise disseminated to members of
150 the public.

151 (22) (26) “Public office” means an office of this State or any political subdivision thereof which is required by
152 law to be determined by an election.

153 (23) (27) “Responsible party” means any natural person who shares or exercises discretion or control over the
154 activities of any entity required to file reports in accordance with this chapter, and ~~shall include~~ includes any officer,
155 director, partner, proprietor or other natural person who exercises discretion or control over the activities of such entity.

156 (24) (28) “School board” means the board of education of a reorganized school district consisting of members
157 duly elected or appointed in accordance with Title 14.

158 (25) (29) “Sign” means any outdoor billboard, panel or similar display having an area of at least 3 square feet.

159 (26) (30) “Special election” means:

160 a. For a school board, any election for 1 or more school board members other than the annual election of
161 members pursuant to § 1072(c) of Title 14.

162 b. For any other public office, an election other than a primary or general election to fill a vacancy for
163 public office, created by reason of failure to elect, ineligibility, death, resignation or otherwise, for which there is
164 more than 1 candidate.

165 (27) (31) “Third-party advertisement” means an independent expenditure or an electioneering communication.

166 (28) (32) “Treasurer” means the individual appointed by a candidate or political committee to assist the
167 candidate or political committee with the duties imposed by this chapter.

168 (33) “Underlying funding source” means the following:

169 a. For an entity that is not a political action committee or a nonprofit:

170 1. The name and address of the entity’s responsible party.

2. The name and address of all persons who, directly or otherwise, own a legal or equitable interest of 50% or greater (whether in the form of stock ownership, percentage of partnership interest, liability for the debts of the entity, entitlement to the profits from the other entity or other indicia of interest) in such corporation, partnership or other entity, or that no such persons exist.

3. The 5 persons who made the 5 largest aggregate transfers to the entity in the last 12 months, if applicable.

4. If the entity is a conduit, then the underlying source of funds of the person who contributed the funds to the conduit.

b. For a political action committee:

1. The name of any affiliated controlling entity.

2. Unless paragraph (33)b.3. of this section applies, the name of the 5 persons who made the 5 largest aggregate transfers to the political action committee in the past 12 months. If any of these persons are not individuals, then the underlying funding source of those persons.

3. If the political action committee is acting as a conduit for earmarked funds that originate from a single donor, then the underlying source of funding of the original donor of those funds.

c. For a nonprofit organization, such as a tax-exempt entity under Section 501(c)(4) of the Internal Revenue Code:

1. Unless paragraph (33)c.2. of this section applies, the name of the top 5 persons who made the 5 largest aggregate transfers to the nonprofit in the past 12 months.

2. If the nonprofit organization is acting as a conduit for earmarked funds that originate from a single donor, then the underlying source of funding of the original donor of those funds.

Section 2. Amend § 8005, Title 15 of the Delaware Code by making deletions as shown by strike through and insertions as shown by underline as follows:

§ 8005. Duties of a political committee.

(a) (1) A political committee ~~that is not an out-of-state political committee shall:~~

(4) ~~File~~ must file a statement of organization with the Commissioner no later than 24 hours after it receives any contribution or makes any expenditure that causes the aggregate amount of contributions by or expenditures to such committee to exceed \$500 during an election period.

(2) An out-of-state political committee must file a statement of organization with the Commissioner no later than 24 hours after it receives any contribution for or makes an expenditure to an election in Delaware that causes the

aggregate amount of contributions by or expenditures to an election in Delaware to exceed \$2,000 during an election period, exempting contributions to candidate committees and political parties.

(b) The statement of organization required by subsection (a) of this section shall be filed under penalty of perjury, and shall include the following information:

a. (1) The full name and mailing address of the ~~committee~~; committee.

b. (2) The full name and mailing address of each of the officers of the committee, 1 of whom shall be an individual named as its ~~treasurer~~; treasurer.

e. (3) A concise statement of the committee's purposes or ~~goals~~; goals.

d. (4) The name, office sought, and party affiliation of any candidate whom the committee is supporting or opposing, to the extent such information is known as of the date of filing; and, if the committee is supporting the entire ticket of any party, the name of the ~~party~~; and party.

e. (5) If the committee files reports with the Federal Elections Commission or any out-of-state agency, a statement to that effect including the name of the agency.

(6) The name of all affiliated controlling entities of the political committee.

(c) A political committee that files a statement of organization under this section must do the following:

(2) (1) Report any change in its officers within 7 days after such change becomes effective.

(3) (2) Keep complete records of all contributions received and all expenditures made by or on behalf of the political committee, and shall retain such records for 3 full years following the election in connection with which the contributions and expenditures were made.

(4) (3) File with the Commissioner the reports required under this chapter.

(d) For purposes of determining the \$2,000 threshold under paragraph (a)(2) of this section, the following applies:

(1) Contributions for an election in Delaware and expenditures to an election in Delaware includes the following:

a. Contributions for or expenditures to an in-state political action committee.

b. Contributions for or expenditures to an out-of-state political action committee earmarked to be used in a Delaware election.

c. A third-party advertisement or independent expenditure.

(2) Contributions for an election in Delaware does not include contributions to a candidate committee or a political party.

Section 3. Amend § 8021, Title 15 of the Delaware Code by making deletions as shown by strike through and insertions as shown by underline as follows:

§ 8021. Identification of purchaser.

(a) All campaign advertisements having a fair market value of \$500 or more, except printed items with a surface of less than 9 square inches, shall include prominently the statement:

“Paid for by [name of political committee or other person paying for such advertisement].”

For purposes of this section, “campaign advertisements” shall include any communication by a candidate committee or political party that would otherwise qualify as an independent expenditure or an electioneering communication but for the fact it was made by a candidate committee or political party.

(b) All third-party advertisements having a fair market value of \$500 or more, except printed items with a surface of less than 9 square inches, shall include prominently the statement:

“Paid for by [name of political committee or other person paying for such third-party advertisement. Learn more about [name of person] at [Commissioner of Elections’ web address].”

(c) If the person paying for a third-party advertisement under subsection (b) of this section is not an individual, the advertisement must also disclose the following:

(1) The name of the entity’s responsible party.

(2) The name of any controlling affiliated entities.

(3) All persons who, directly or otherwise, own a legal or equitable interest of 50% or greater (whether in the form of stock ownership, percentage of partnership interest, liability for the debts of the entity, entitlement to the profits from the other entity or other indicia of interest) in such corporation, partnership or other entity, if such persons exist.

(4) The 5 persons who made the 5 largest aggregate transfers to the entity in the last 12 months, if applicable.

(5) A link to a website maintained by the entity that lists all contributions to the third-party advertiser in the last 12 months that are greater than \$100 and the underlying funding source of all contributions that are greater than \$100 and not from an individual. The website shall contain a white background with black 12-point font. It must state at the top of the website the following statement:

“Below is a list of all contributors to [the entity] as required by Title 15 of the Delaware Code.”

~~(e)~~ (d) The Commissioner may adopt regulations regarding the size, placement and duration of the foregoing statements as the same shall apply to specific forms of campaign advertisements. In connection therewith, the Commissioner may modify or amend the foregoing statements to conform to the requirements of a particular medium (i.e.,

260 television, radio, print, Internet), and may by regulation create exemptions from the requirements hereunder where
261 compliance is not reasonably practicable due to the small size or short duration of such advertisements. In all events,
262 however, campaign advertisements having the same medium and duration (for example, 15-second radio advertisements or
263 Internet advertisements having less than 200 characters) shall be subject to the same requirements.

264 Section 4. Amend § 8030, Title 15 of the Delaware Code by making deletions as shown by strike through and
265 insertions as shown by underline as follows:

266 § 8030. Reports of political committees.

267 (a) Each candidate (except a candidate who is excused from filing a report under § 8004 of this title) and every
268 treasurer of a political committee that must file a statement of organization with the Commissioner (except of a candidate
269 excused from filing a report under § 8004 of this title) shall be responsible for filing with the Commissioner reports of
270 contributions and expenditures on forms prescribed by the Commissioner for every reporting period during which a
271 political committee is in existence. A candidate shall be jointly responsible with the treasurer for the filing of the report of a
272 candidate committee.

273 (b) A reporting period shall begin on the day after the previous reporting period (except that for a newly-formed
274 committee, the reporting period begins on the date the first contribution is received or expenditure made by or on behalf of
275 such committee) and shall end on the following dates:

276 (1) December 31 of every year, before or after an election, from the time the committee receives its first
277 contribution or makes its first expenditure, until and including the year in which contributions and expenditures are
278 balanced and the political committee terminates;

279 (2) 30 days before any election (except for committees of candidates not on the ballot at such election);

280 (3) 8 days before any election (except for committees of candidates not on the ballot at such election).

281 (c) (1) Each report required by paragraph (b)(1) of this section must be:

282 a. Filed by the political committee using the Department's campaign finance reporting system and
283 received by the Commissioner by 11:59 p.m. of the twentieth day after the end of the reporting period which is not
284 a state holiday under Chapter 5 of Title 1.

285 b. [Repealed.]

286 (2) Each report required by paragraph (b)(2) of this section must be:

287 a. Filed by the political committee using the Department's campaign finance reporting system and
288 received by the Commissioner by 11:59 p.m. of the second day after the end of the reporting period which is not a
289 state holiday under Chapter 5 of Title 1.

b. [Repealed.]

(3) Each report required by paragraph (b)(3) of this section must be filed by the political committee using the Department's campaign finance reporting system and received by the Commissioner by 11:59 p.m. of the second day after the end of the reporting period which is not a State holiday under Chapter 5 of Title 1.

(d) Each report under this section shall disclose all of the following information, for the entire reporting period:

(1) Amount of cash and other intangible and tangible assets on hand at the beginning of the reporting period;

(2) Full name and mailing address of each person who has made contributions to such political committee (including the purchase of tickets for events such as dinners, luncheons, rallies and similar fund-raising events, whether or not the tickets were used by the person who paid for them) during the election period in an aggregate amount or value in excess of \$100, the total of all contributions from such person during the election period, and the amount and date of all contributions from such person during the reporting period. If the person who made the contribution is not an individual, then the report shall also include the name and address of 1 responsible party for such person;

(3) Total of contributions made to such political committee during the reporting period and not reported under paragraph (d)(2) of this section;

(4) Name and address of each political committee from which the political committee received, or to which the political committee made, any transfer of funds, together with the amounts and dates of all transfers, no matter what the amount;

(5) The amount of each debt in excess of \$50, owed to or owing by such political committee at the end of the reporting period, the full names and mailing addresses of any lender, borrower and endorser of such debt, the date and the interest rate of such loan, and a description of any security given therefor;

(6) Total amount of proceeds from:

a. Sale of tickets to each reception, meal, rally or other fund-raising event;

b. Collections made at such events; and

c. Sales of items such as campaign pins, buttons, badges and similar materials; provided, however, that all payments and contributions by any person, whether as gifts, as purchases of tickets or other goods or services, or partially as gifts and partially as purchases, by any person during any election period, shall be aggregated and, if such aggregate total exceeds \$50 during such election period, shall be reported under paragraph (d)(2) of this section;

(7) Each contribution or other receipt in excess of \$100 not otherwise listed under paragraphs (d)(2) through (6) of this section;

(8) Total receipts by such political committee or candidate during the reporting period;

(9) Full name and mailing address of each person to whom any expenditure has been made by such political committee during the reporting period in an aggregate amount in excess of \$100, the amount, date and purpose of each such expenditure and the name of, and office sought by, each candidate on whose behalf such expenditure was made;

(10) Total expenditures made by such political committee or candidate in connection with such campaign; and

(11) All goods and services that are contributed in kind, or at no charge or at a cost less than fair market value (except for services excluded from the definition of "contribution" under § 8002 of this title) to the extent that the fair market value, less any amount paid by the candidate or committee, exceeds \$100.

(e) The reports required to be filed by this section shall be cumulative for the election period to which they relate, but where there has been no change in an item previously reported, only the amount need be carried forward.

(f) Each statement shall be accompanied by an affidavit verified by the candidate or the treasurer of the political committee, which states as follows:

"I solemnly swear [or affirm] that the foregoing statement is in every respect true and correct, and discloses all contributions received and expenditures required by me under Title 15, Chapter 80 of the Delaware Code."

(g) The report required under paragraph (b)(3) of this section may omit the information required under paragraph (d)(9) of this section; provided, however, that all such information shall be disclosed in the next report required hereunder.

Section 5. Amend § 8031, Title 15 of the Delaware Code by making deletions as shown by strike through and insertions as shown by underline as follows:

§ 8031. Special reports — Third-party advertisements.

(a) Any person other than a candidate committee or political party who makes an expenditure for any third-party advertisement that causes the aggregate amount of expenditures for third-party advertisements made by such person to exceed \$500 during an election period shall file a third-party advertisement report with the Commissioner. The report shall be filed under penalty of perjury and shall include all of the following:

(1) The information required under ~~§ 8005(1)~~ § 8005(b) of this title with respect to the person making such ~~expenditure;~~ expenditure.

(2) The full name and mailing address of each person to whom any expenditure has been made by such person during the reporting period in an aggregate amount in excess of \$100; the amount, date and purpose of each such expenditure; and the name of, and office sought by, each candidate on whose behalf such expenditure was ~~made;~~ made.

(3) The full name and mailing address of each person who has made contributions to such person during the election period in an aggregate amount or value in excess of \$100; the total of all contributions from such person

during the election period, and the amount and date of all contributions from such person during the reporting ~~period~~;
period.

(4) If a person who made a contribution under paragraph (a)(3) of this section is not an individual, the full name and mailing address ~~of:~~ of the underlying funding source for that person.

~~a. Any person who, directly or otherwise, owns a legal or equitable interest of 50 percent or greater in such entity; and~~

~~b. One responsible party, if the aggregate amount of contributions made by such entity during the election period exceeds \$1,200; and~~

(5) The aggregate amount of all contributions made to the person who made the expenditure.

(b) For purposes of this section, a reporting period shall begin on the day after the previous reporting period under § 8030 of this title or this section, whichever is later. However, if the person making the expenditure hereunder was not previously required to file any reports during the election period under § 8030 of this title or this section, then the reporting period shall begin on the date the first contribution is received or expenditure made by or on behalf of such person in the current election period. A reporting period shall end on the date of the expenditure set forth in subsection (a) of this section.

(c) Any person other than an individual that makes a contribution for which disclosure is required under paragraph (a)(3) of this section shall provide written notification in accordance with § 8012(e) of this title to the person filing the report hereunder. The person filing the report may rely on such notification, and should the notification provided by the representative of the entity be inaccurate or misleading, the person or persons responsible for the notification, and not the person filing the report, shall be liable therefor.

(d) If the expenditure is made more than 30 days before a primary or special election or 60 days before a general election, the report required under this section shall be filed within 48 hours after such expenditure is made. If the expenditure is made 30 days or less before a primary or special election or 60 days or less before an election, such report shall be filed with the Commissioner within 24 hours after such expenditure is made. For purposes of this section, an expenditure shall be deemed to be made on the date it is paid or obligated, whichever is earlier.

(e) ~~The Commissioner shall adopt regulations exempting, to the extent possible, persons from reporting duplicative information under this chapter.~~ must adopt regulations relating to the reporting of third-party advertisers under this section, with illustrative examples of how the law applies in specific cases. The regulations must include examples of how to determine the underlying funding source if the source of funds for the third-party advertisement is not from an individual. A summary of the regulations, with illustrative examples must be posted on the Election Commissioner's website.

(f) Persons required to file reports under this section shall retain complete records of all expenditures made and contributions received in connection herewith for 3 years following the election for which such report was filed.

Section 6. Amend Subchapter IV, Chapter 80, Title 15 of the Delaware Code by making deletions as shown by strike through and insertions as shown by underline as follows:

§ 8031A. Negative balance prohibited.

No report submitted under § 8030 and §8031 of this title may contain a negative ending balance. “Ending balance” means the ending balance from the last reporting period and total receipts from the current reporting period minus total expenditures from the current reporting period. A report containing a negative balance is incomplete and may be considered tardy under § 8044 of this title.

Section 7. Amend § 8043, Title 15 of the Delaware Code by making deletions as shown by strike through and insertions as shown by underline as follows:

§ 8043. Violations; penalties; jurisdiction in Superior Court.

(a) Except as set forth in § 8044 of this title, any person who knowingly violates any provision of § 8003, ~~§ 8004~~ or § 8005 ~~§ 8004, § 8005, or § 8031A~~ of this title ~~shall be~~ is guilty of a class B misdemeanor.

Section 8. This Act is effective 6 months after its enactment.

SYNOPSIS

This Act expands Delaware’s campaign finance disclosure requirements to provide more transparency regarding the source of funding for expenditures in Delaware election campaigns. To that end this Act does the following:

1. Requires out-of-state committees that contribute more than \$2,000 to a Delaware election (exempting contributions to candidates and political parties) to register with the State Election Commissioner (Commissioner).
2. Requires political committees to list any affiliated controlling entities on its statement of registration.
3. Increases the disclosure requirements to be placed on third-party advertisements by requiring the advertisement to display, if applicable, the name of a majority owner of the third-party advertiser, the responsible party, affiliated controlling entities, and the 5 persons who made the 5 largest aggregate transfers to the entity in the last 12 months. It further requires third-party advertisers to display a link to a website that lists all contributions to the third-party advertisement in excess of \$100. Any contribution that is greater than \$100 that is not from an individual must also include information on the contribution’s underlying funding source.
4. Prohibits all reports filed with the Commissioner from containing a negative balance so that the source of all funds are disclosed, including any loans.